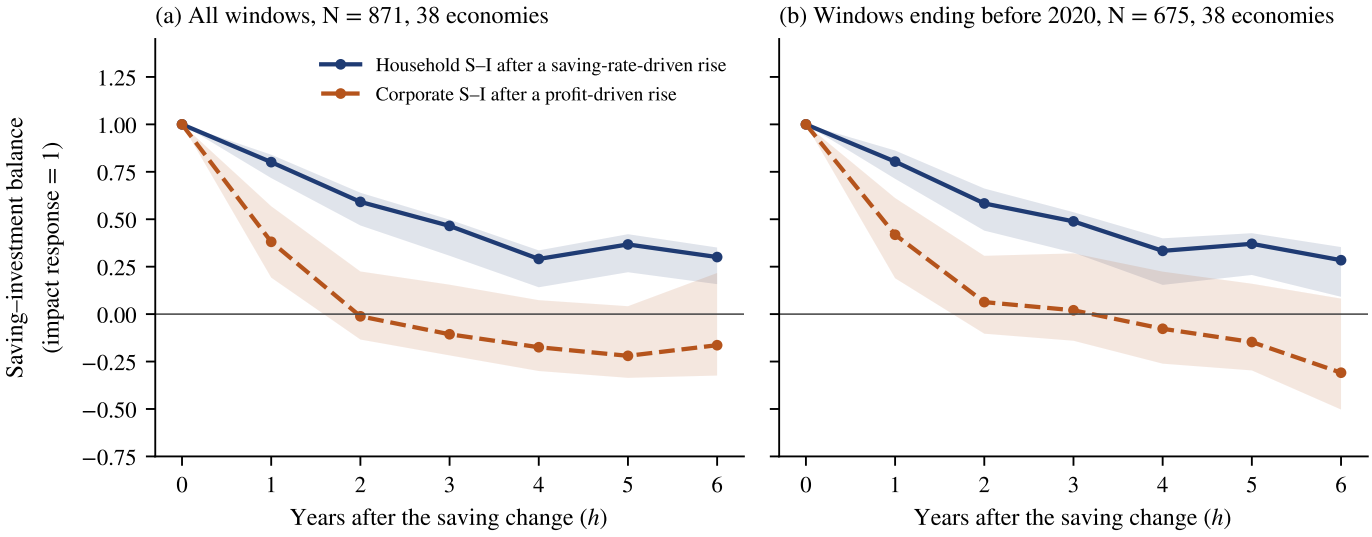
Persistence of sector balances by source of the saving change



Notes: Local projections of the own-sector saving–investment balance (net lending, percent of GDP) on profit-driven corporate saving and saving-rate-driven household saving, entered jointly with the remaining components of sector saving, their lags and lagged levels, and country and year fixed effects; two-step weighted least squares. Responses are relative to year −1 and normalized by the impact response. The same country-years are used at every horizon. Shaded areas are 68 percent bands from a country-cluster bootstrap (499 replications).